

Complete HR Flow

How people move from employee setup to joining, compensation, payroll, Accounts settlement, and final lock.

Purpose

Written for a non-technical owner who wants to understand responsibilities, approvals, controls, and current readiness. This guide describes the system as audited on 27 July 2026. It explains current capability, control points, and the difference between built functionality and live onboarded data.

1. Owner's executive picture

Audit verdict

The workflows described in this guide are implemented in application code and covered by the current automated suite. The suite passed again during this documentation audit: 199 tests and 999 assertions.

Readiness warning

The local database is foundation-ready but not operationally onboarded. It currently has no employees, payroll runs, projects, parties, journals, invoices, inventory movements, bank accounts, tax codes, or opening balances. Real company data, approval limits, bank details, tax configuration, contracts, and opening balances must be loaded before live use.

Roman Urdu bottom line

HR ka complete structure bana hua hai: employee profile, company job record, documents, joining letter, salary history, payroll, Accounts posting aur payment settlement. Lekin local system mein abhi actual employees aur payroll data load nahin hua.

The complete people journey



Three records the owner must distinguish

Record	What it represents	Why it is separate
Employee	The person: identity, CNIC, contact, qualifications, experience, emergency contacts and bank details.	A person can work for more than one group company.
Employment	That person's job inside one company: code, joining date, department, designation, manager, category, schedule and status.	Company rules and reporting lines remain isolated.
User	A login account for someone who operates the system.	Employees do not automatically receive system access.

2. Before hiring begins

The company-level setup that makes later HR records reliable.

- **Company access:** the HR operator must be an active member of the selected company or have authorized descendant access.
- **Departments and designations:** both are company-owned and cannot be selected across companies.
- **Joining letter template:** each company has its own safe template and permitted placeholders.
- **Document categories:** employee and contract evidence use private, versioned document storage.
- **Payroll mapping:** before Accounts posting, each company needs approved salary expense, liability and advance mappings.
- **Bank setup:** company payment accounts and employee primary payroll accounts must be entered and authorized.

Current local readiness

All six companies have HR enabled or inherited. However, there are zero employees, employments, compensation records, joining letters, payroll runs, employee bank accounts, company bank accounts and documents in the local database.

3. Employee onboarding flow

Step A - Create the person and first company employment

HR enters the employee's personal identity and, in the same company context, creates the first Employment. The employment holds the employee code, joining date, department, designation, reporting manager, category, schedule and status.

Business input	System control	Owner result
CNIC and identity	CNIC is normalized, encrypted, masked and exact-matchable through a keyed hash.	Private identity is protected without losing duplicate checking.
Employee code	Unique inside a company, not across the whole group.	Each legal company keeps its own employee numbering.
Reporting manager	Must be an Employment in the same company; self and circular reporting are blocked.	A valid company organization chart.
Interviewer / verifier	Must be a User who can access that company.	Named operational accountability.
Department / designation	Must belong to the same company.	No accidental cross-company master data.

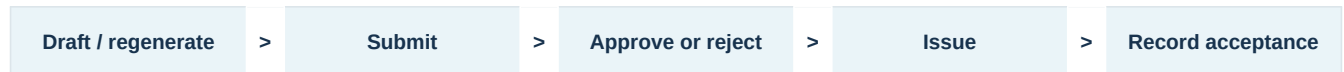
Step B - Complete the employee file

- Add one or more emergency contacts, qualifications and previous experiences.
- Add one or more employee bank accounts; only one can be primary for payroll.
- Upload Employee and Employment documents. A replacement becomes a new immutable version instead of overwriting history.
- Use Restricted or Confidential classification and the dedicated sensitive permissions for private records.
- Verify documents and record the responsible User and verification time.

What is protected

CNIC, bank account numbers, IBANs, salary amounts, payroll amounts, letter bodies and private notes are encrypted or excluded from normal audit values. Viewing and editing sensitive data require dedicated permissions.

4. Joining letter workflow



Stage	Who acts	Business meaning and control
Draft	Authorized HR preparer	The template snapshots employee, employment, company, schedule, effective date and compensation. Unknown placeholders are rejected.
Pending Approval	Independent approver	Content is frozen for review. Rejection requires a reason and returns it for correction.
Approved	Authorized issuer	Only approved content may be issued.
Issued	HR / management	A SHA-256 checksum fixes the subject and body. Issued content cannot be silently changed.
Accepted	Staff operator records evidence	Name, time and notes are recorded. This is acceptance evidence, not an electronic or digital signature.

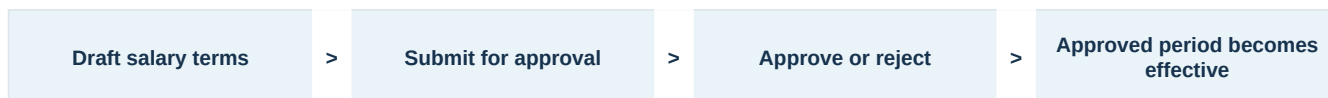
Current limitation

Printable joining-letter PDF export and electronic/digital signing are not implemented. The system currently stores controlled content and acceptance evidence only.

5. Compensation history

Why salary is a history, not one editable field

Every Employment can have dated compensation versions. Basic Salary, House and Travel Allowance, Food Allowance and Other Allowance are stored separately; Gross Salary is calculated. A later approved version automatically closes the previous active period.



Control	Business effect
Effective-from / effective-to dates	Payroll can reproduce the salary that applied in a past period.
Independent approval	A sensitive change is not made effective merely by data entry.
Approved values immutable	Historical payroll evidence cannot be quietly rewritten.
Overlap prevention	Only one approved compensation basis applies on a date.
Separate salary permissions	General HR access does not automatically reveal or edit pay.

6. Monthly payroll flow



How the amount is built

Component	Current system behavior	Owner attention
Payable basic	Basic salary is prorated by payable days in the payroll period.	Attendance is not integrated; payable days are operational input.
Allowances	House/Travel, Food and Other Allowance are brought from approved compensation.	Allowance-proration policy still needs business confirmation.
Deductions	Absence, Loan/Advance and Other Deduction are separate.	Formal employee-loan origination and schedules are not implemented.
Net salary	Gross less deductions, never below zero.	Review exceptions before submission.
Payment split	Bank amount plus Cash amount must equal Net Salary.	Employee primary bank details should be verified.

Project staff

Director and Administrative Staff payroll posts to configured salary expenses. Project Staff require Project, optional Site and Cost Center allocations. Allocations must exactly equal Gross Salary less Absence Deduction before posting.

Accounts and payment

An approved Payroll Run is posted once to the General Ledger. Expense or direct project labour is debited; Salary Payable, Employee Advance recovery and other configured liabilities are credited. Later Treasury Payments settle each employee's Salary Payable through Cash or Bank. Mark Paid is blocked until the Accounts posting exists and every payroll entry is fully settled.

Operational status is not accounting status

Approved means management accepted the payroll. Posted means it entered the books. Paid means posted Treasury payments settled all employees. Locked means the completed payroll can no longer be edited.

7. Exception and correction paths

Situation	Correct system path	What must never happen
Employee missing approved salary	Entry generation stops and rolls back the whole run.	Do not create a partial payroll and forget the missing person.
Joining letter rejected	Correct, regenerate and resubmit while preserving the reason.	Do not overwrite issued content.
Compensation rejected	Edit the rejected draft and resubmit.	Do not alter an approved salary record.
Payroll rejected	Correct or regenerate while Rejected, then submit again.	Do not edit after approval.
Payroll posting wrong	Reverse the linked journal in an open period, correct and repost.	Do not delete or edit posted ledger lines.
Payment wrong	Reverse the Treasury settlement first, then handle payroll posting if needed.	Do not mark paid while balances remain open.

8. Owner control dashboard

Frequency	Owner / management review
At hiring	Employee file complete; Employment company and reporting line correct; verification complete; joining terms independently approved.
Before payroll	Approved compensation exists for every active employee; payroll period and payable days are correct; project allocations are complete.
At approval	Headcount, gross, deductions, net, bank/cash split and unusual changes compared with prior month.
Before payment	Payroll is posted to Accounts; payment account is correct; employee open amounts match payment instructions.
After payment	No payroll entry remains open; Payroll/GL/settlement report reconciles; then lock the run.
Quarterly	Access review, sensitive permissions, inactive staff, employee bank changes, expired documents and audit exceptions.

Available management reports

- Payroll / General Ledger / settlement reconciliation.
- Employee Advance subledger.
- Activity history for workflow transitions and permitted non-sensitive changes.
- Document expiry and workflow status through Document Management.

9. What is not included yet

- Attendance and leave management.
- Attendance-based payroll calculations.
- Payroll exports and printable approval sheets.
- Formal employee-loan origination, schedules, interest and installments.
- Printable joining-letter PDF export.

- Electronic or certificate-based digital signatures.

Go-live checklist

Create HR roles and company memberships; load departments/designations; onboard employee and employment data; verify private documents and bank details; approve compensation histories; confirm allowance and attendance rules; configure payroll Accounts mappings and company bank accounts; run one parallel payroll; reconcile; then authorize live use.

10. Quick glossary

Term	Plain meaning
Employee	The person.
Employment	The person's job in one company.
Compensation	The approved salary and allowance basis for a date range.
Payroll Run	One company's payroll for one period.
Posting	Creating the official double-entry Accounts record.
Settlement	Actual Cash/Bank payment against Salary Payable.
Maker-checker	One person prepares; another independently approves.
Reversal	A controlled opposite entry that corrects history without deleting it.